

Circular 2025/09 — IFRS 17 Insurance Contracts — Extended Implementation Deadline

Reference:	FRA/CIR/2025/009	Issue Date:	20 April 2025
Effective Date:	01 January 2026	Response Deadline:	30 September 2025
Issuing Authority:	Financial Regulatory Authority	Classification:	MANDATORY

1. Deadline Extension

Following extensive industry consultation and in recognition of the significant operational challenges associated with the implementation of IFRS 17 Insurance Contracts, the Authority is extending the mandatory adoption deadline from 1 July 2025 to 1 January 2026. This extension applies to all regulated insurance entities and bancassurance operations. Firms that have already adopted IFRS 17 on or before the original deadline may continue on the new standard — there is no requirement to revert.

2. Updated Milestones

The following revised milestone dates replace those set out in Circular FRA/CIR/2024/011: (a) Parallel run reporting under both IFRS 4 and IFRS 17 — required from 1 July 2025 (previously 1 January 2025); (b) System and data readiness certification — due 30 September 2025 (previously 31 March 2025); (c) External auditor sign-off on opening balances — due 30 November 2025 (previously 30 June 2025); (d) Full mandatory adoption — 1 January 2026 (previously 1 July 2025). All other requirements in the original circular remain unchanged.

3. Conditions for Extension

The extension is conditional on firms demonstrating continued progress toward implementation. Firms must submit a progress update to the Authority by 31 May 2025 confirming: (a) System build or vendor solution is contracted and on track; (b) Actuarial and finance teams have completed IFRS 17 training; (c) Chart of accounts and subledger changes are finalised; (d) Data migration testing has commenced. Firms unable to confirm progress by this date will not be granted the extension and must comply with the original deadline.

4. Disclosure Requirements

Firms must disclose in their 2025 interim financial statements that they are adopting IFRS 17 on 1 January 2026 and provide a qualitative description of the expected impact on reported insurance liabilities and equity. Firms expecting a material impact on solvency

must notify the Authority no later than 30 June 2025 with a quantitative impact assessment.

5. No Further Extensions

The Authority confirms that this is a final extension and no further deadline relief will be granted. Firms that have not adopted IFRS 17 by 1 January 2026 will be subject to immediate enforcement action including publication of non-compliance and mandatory appointment of an external implementation monitor at the firm's expense.